



US Taxpayers to See a Nearly \$2,300 Average Tax Cut in 2026 Under the Big Beautiful Bill

February 24, 2026 • 4 min read

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Note: In February, we updated our modeling of the One Big Beautiful Bill Act to incorporate revised economic estimates and guidance on the senior deduction phaseout. Together, these changes increased the average tax cut by \$60.61 nationally in 2026. We also revised our state-level FTE jobs numbers in the map to align with the latest estimates.

The One Big Beautiful Bill Act (OBBBA), signed into law in July 2025, makes the most significant legislative changes to federal tax policy since the 2017 Tax Cuts and Jobs Act (TCJA).

Notably, the OBBBA makes permanent the individual tax changes first put in place by the TCJA, which avoids a tax hike on an estimated 62 percent of tax filers in 2026. The law provides additional tax cuts to individuals and businesses on top of TCJA extensions, including new deductions for tipped and overtime income, an expanded child tax credit and standard deduction, and permanence for 100 percent bonus depreciation and domestic research and development (R&D) expensing.

To visualize the OBBBA tax changes, Tax Foundation has estimated the average change in taxes paid per individual taxpayer under the OBBBA relative to prior law across each state and county from 2026 through 2035. As such, the map below illustrates the considerable

geographic variation in tax benefits from the OBBBA, relative to a scenario in which the TCJA individual tax provisions expire, and business taxes increase as previously scheduled starting in 2026.

We estimate the OBBBA will reduce federal taxes on average for individual taxpayers in every state. Taxpayers in Wyoming (\$5,478), Washington (\$5,445), and Massachusetts (\$5,259) will see the largest average tax cuts in 2026, while taxpayers in West Virginia (\$2,448) and Mississippi (\$2,386) will see the smallest average tax cuts this year.

At the county level, the largest average tax cuts are found in mountain resort towns. For example, we estimate Teton County, Wyoming will see an average tax cut of \$39,316 per taxpayer in 2026, the highest in the US. Pitkin County, Colorado (\$22,717), and Summit County, Utah (\$15,477), rank number two and three for the largest average tax cuts, likely representing the residences of business owners and higher-earning taxpayers. The smallest average tax cuts are found in rural counties, such as Loup County, Nebraska, with an average tax cut of \$731 in 2026.

Across all individual tax filers throughout the country, the average tax cut per taxpayer will be \$3,813 in 2026. Individual tax changes in OBBBA reduce tax liability by \$2,272 on average in 2026, while business tax cuts contribute another \$1,541 on average. The average tax cut falls to \$2,590 in 2030 as certain individual changes like deductions for tips and overtime income expire, before rising again up to \$3,163 in 2035 as inflation increases the nominal value of the permanent tax cuts.

Specific tax changes also exhibit geographic variation. For example, the \$40,000 cap on state and local tax (SALT) deductions (\$10,000 cap post-2029) will tend to have the greatest impact on taxpayers in higher-tax localities on the coasts of the US.

Tax Foundation estimates the OBBBA will increase hours worked by about 828,000 full-time equivalent jobs over the long run, ranging from more than 116,000 jobs in California and about 72,000 jobs in Texas to about 1,500 new jobs in Vermont. The map below provides a state-level breakdown of the increase in full-time equivalent jobs from the OBBBA's passage.

Table 1: State Average Tax Changes per Filer per State Under One Big Beautiful Bill Tax Changes, 2026 - 2035

State 	2026 	2027 	2028 	2029 	2030 	2031 	2032 
United States	-\$3,813	-\$3,534	-\$3,386	-\$2,938	-\$2,590	-\$2,721	-\$2,807
Alabama	-\$2,843	-\$2,723	-\$2,636	-\$2,222	-\$2,103	-\$2,214	-\$2,278
Alaska	-\$3,503	-\$3,406	-\$3,329	-\$2,901	-\$2,841	-\$2,983	-\$3,077
Arizona	-\$3,549	-\$3,310	-\$3,176	-\$2,730	-\$2,452	-\$2,553	-\$2,610
Arkansas	-\$2,962	-\$2,730	-\$2,603	-\$2,177	-\$1,969	-\$2,077	-\$2,133
California	-\$4,296	-\$3,910	-\$3,714	-\$3,268	-\$2,407	-\$2,526	-\$2,605
Colorado	-\$4,344	-\$4,021	-\$3,857	-\$3,391	-\$3,064	-\$3,204	-\$3,303
Connecticut	-\$4,832	-\$4,239	-\$3,966	-\$3,455	-\$2,735	-\$2,884	-\$2,987
Delaware	-\$3,159	-\$3,020	-\$2,930	-\$2,474	-\$2,251	-\$2,365	-\$2,437
District of Columbia	-\$5,181	-\$4,515	-\$4,221	-\$3,704	-\$2,798	-\$2,962	-\$3,084
Florida	-\$5,092	-\$4,355	-\$4,016	-\$3,523	-\$3,237	-\$3,376	-\$3,482
Georgia	-\$3,132	-\$2,955	-\$2,848	-\$2,448	-\$2,224	-\$2,348	-\$2,425
Hawaii	-\$3,051	-\$2,820	-\$2,692	-\$2,209	-\$1,782	-\$1,858	-\$1,891
Idaho	-\$3,539	-\$3,276	-\$3,131	-\$2,671	-\$2,444	-\$2,565	-\$2,635
Illinois	-\$3,772	-\$3,564	-\$3,447	-\$3,001	-\$2,719	-\$2,861	-\$2,957
Indiana	-\$3,037	-\$2,982	-\$2,926	-\$2,487	-\$2,346	-\$2,472	-\$2,550
Iowa	-\$3,130	-\$3,038	-\$2,965	-\$2,506	-\$2,355	-\$2,479	-\$2,552
Kansas	-\$3,341	-\$3,182	-\$3,082	-\$2,633	-\$2,442	-\$2,575	-\$2,659
Kentucky	-\$2,840	-\$2,776	-\$2,719	-\$2,307	-\$2,173	-\$2,292	-\$2,363
Louisiana	-\$2,915	-\$2,848	-\$2,786	-\$2,393	-\$2,285	-\$2,406	-\$2,481

State	2026	2027	2028	2029	2030	2031	2032
Maine	-\$3,189	-\$3,008	-\$2,904	-\$2,431	-\$2,216	-\$2,327	-\$2,401
Maryland	-\$3,251	-\$3,093	-\$2,998	-\$2,560	-\$2,154	-\$2,279	-\$2,356
Massachusetts	-\$5,259	-\$4,855	-\$4,659	-\$4,182	-\$3,701	-\$3,879	-\$4,019
Michigan	-\$3,131	-\$3,033	-\$2,962	-\$2,528	-\$2,396	-\$2,522	-\$2,606
Minnesota	-\$3,548	-\$3,445	-\$3,370	-\$2,915	-\$2,630	-\$2,771	-\$2,865
Mississippi	-\$2,386	-\$2,332	-\$2,274	-\$1,898	-\$1,813	-\$1,917	-\$1,974
Missouri	-\$3,173	-\$3,023	-\$2,927	-\$2,486	-\$2,333	-\$2,457	-\$2,535
Montana	-\$3,575	-\$3,242	-\$3,077	-\$2,611	-\$2,371	-\$2,497	-\$2,583
Nebraska	-\$3,443	-\$3,289	-\$3,186	-\$2,734	-\$2,637	-\$2,776	-\$2,865
Nevada	-\$4,301	-\$3,849	-\$3,633	-\$3,165	-\$2,878	-\$2,997	-\$3,076
New Hampshire	-\$4,649	-\$4,271	-\$4,087	-\$3,561	-\$3,349	-\$3,503	-\$3,614
New Jersey	-\$3,803	-\$3,529	-\$3,384	-\$2,938	-\$2,367	-\$2,503	-\$2,588
New Mexico	-\$2,587	-\$2,496	-\$2,428	-\$2,022	-\$1,859	-\$1,944	-\$1,987
New York	-\$4,079	-\$3,633	-\$3,425	-\$2,953	-\$2,149	-\$2,283	-\$2,374
North Carolina	-\$3,291	-\$3,085	-\$2,964	-\$2,536	-\$2,329	-\$2,453	-\$2,530
North Dakota	-\$3,559	-\$3,450	-\$3,370	-\$2,911	-\$2,824	-\$2,973	-\$3,073
Ohio	-\$3,173	-\$3,094	-\$3,031	-\$2,600	-\$2,462	-\$2,591	-\$2,676
Oklahoma	-\$3,106	-\$2,992	-\$2,908	-\$2,501	-\$2,403	-\$2,530	-\$2,612
Oregon	-\$3,193	-\$2,979	-\$2,861	-\$2,399	-\$2,035	-\$2,146	-\$2,213
Pennsylvania	-\$3,511	-\$3,353	-\$3,257	-\$2,804	-\$2,613	-\$2,747	-\$2,838
Rhode Island	-\$3,316	-\$3,120	-\$3,010	-\$2,548	-\$2,278	-\$2,385	-\$2,450
South Carolina	-\$3,037	-\$2,853	-\$2,744	-\$2,320	-\$2,146	-\$2,261	-\$2,332
South Dakota	-\$3,638	-\$3,416	-\$3,288	-\$2,826	-\$2,757	-\$2,900	-\$2,995

State	2026	2027	2028	2029	2030	2031	2032
Tennessee	-\$3,817	-\$3,550	-\$3,409	-\$2,971	-\$2,890	-\$3,036	-\$3,138
Texas	-\$4,009	-\$3,719	-\$3,559	-\$3,138	-\$2,943	-\$3,072	-\$3,153
Utah	-\$3,826	-\$3,545	-\$3,386	-\$2,932	-\$2,622	-\$2,755	-\$2,832
Vermont	-\$3,165	-\$2,885	-\$2,741	-\$2,244	-\$1,939	-\$2,033	-\$2,087
Virginia	-\$3,617	-\$3,385	-\$3,256	-\$2,804	-\$2,460	-\$2,592	-\$2,674
Washington	-\$5,445	-\$5,206	-\$5,073	-\$4,618	-\$4,483	-\$4,683	-\$4,850
West Virginia	-\$2,448	-\$2,461	-\$2,435	-\$2,005	-\$1,924	-\$2,032	-\$2,095
Wisconsin	-\$3,177	-\$3,060	-\$2,980	-\$2,516	-\$2,357	-\$2,483	-\$2,564
Wyoming	-\$5,478	-\$4,615	-\$4,228	-\$3,650	-\$3,423	-\$3,593	-\$3,718

Source: Tax Foundation General Equilibrium Model, February 2026

Methodology

We estimate the geographic distribution of tax changes under the OBBBA individual and business provisions using conventional revenue estimates at the national level generated by the Tax Foundation's General Equilibrium Model. In this map, we do not include the impact of the OBBBA estate tax changes.

We allocate to individual tax filers in counties using data from the IRS Statistics of Income for individual tax returns in 2022. The IRS data provides various tax characteristics broken down by county. The conventional revenue estimates do not include impacts on GDP and other economic aggregates.

From the IRS data, certain tax characteristics are used to allocate to counties the conventional national revenue estimates for each of the OBBBA provisions, as described in Table 2, and then averaged by the number of filers in each county. This analysis's accuracy is limited by the extent of the IRS data at the county level, which is particularly limited for OBBBA's new and narrowly targeted provisions, such as the deduction for tipped income.

For the OBBBA business provisions, we assume these fall partly on capital income and partly on labor income, in accordance with several studies. In particular, we assume the corporate tax is initially borne mainly by capital income (90 percent in the first year), and over time the burden shifts to labor income until it is evenly split across capital and labor income in the long run (50 percent capital income and 50 percent labor income in the fifth year and beyond).

Our state-level jobs impacts are allocated based on the national jobs estimated from the Tax Foundation General Equilibrium Model and the distribution of labor and capital income across the states.

Table 2: Tax Characteristics Used to Allocate National Revenue Estimates to Counties

OBBBA Provision	Allocation Factor
TCJA Rates and Brackets (plus inflation adjustment)	County share of taxable income
TCJA Standard Deduction and Expansion	County share of standard deduction claimed
Personal Exemption Elimination	County share of the number of exemptions be claimed if exemption is restored
\$2,200 CTC, Phases In at \$2,500 in Earned Income, up to \$1,800 Refundable (Inflation Adjusted), Phases Out at \$200k/\$400k, \$500 ODC	County share of CTC claimed
\$40,000 State and Local Tax Deduction Cap with income limits	County share of SALT disallowed
\$750,000 Home Mortgage Interest Deduction Cap	County share of mortgage interest deduction
Eliminate Miscellaneous Itemized Deductions and New Itemized Deduction Limit	County share of itemized deductions
Pease Repeal	County share of those earning \$200,000 and above
Updated AMT Exemption and Phaseout Thresholds	County share of AMT amount paid

Deduction for Seniors	County share of additional standard deduction claimed
Deduction for Tipped Income	County share of salaries and wages under \$200
Deduction for Premium Portion of Overtime Income	County share of salaries and wages under \$200
Individual Charitable Deduction Changes	County share of charitable contributions
Auto Loan Interest Deduction	County share of taxable income under \$200
162(m) Limit Changes	County share of taxable income above \$200
Individual portion of IRA credit Changes	County share of residential energy tax credit
PTC Changes	County share of premium tax credits claimed
Domestic business provisions (Permanent 100 percent bonus depreciation, cancelled R&D amortization, permanent 30 percent EBITDA interest limitation, noncorporate loss limitation, permanent 199A deduction and small adjustments, corporate charitable deduction limit, new structures deduction, business portion of IRA credit changes)	County share of national labor income (wages and salaries) and capital income (capital gains, dividends, interest, pass-through business income) weighted to reflect the economic incidence of the corporate tax, such that the incidence is on capital income (10% on labor income) in 2026; 80% is on capital income (20% on labor income) in 2027; 70% is on capital income (30% on labor income) in 2028; 60% is on capital income (40% on labor income) in 2029; and 50% is on capital income (50% on labor income) in 2030 and thereafter.
International Business Provision Changes	County share of national labor income (wages and salaries) and capital income (capital gains, dividends, interest, pass-through business income) weighted to reflect the economic incidence of the corporate tax, such that the incidence is on capital income (10% on labor income) in 2026; 80% is on capital income (20% on labor income) in 2027; 70% is on capital income (30% on labor income) in 2028; 60% is on capital income (40% on labor income) in 2029; and 50% is on capital income (50% on labor income) in 2030 and thereafter.

Source: Tax Foundation research

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